

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

**SERVICE BY AIR, INC.'S RESPONSE IN OPPOSITION TO
CMI DISTRIBUTION, INC.'S PETITION FOR ATTORNEY'S FEES**

I. INTRODUCTION

Service by Air, Inc. (“SBA”) opposes the attorney fee petition of CMI Distribution, Inc. (“CMI”) on the grounds that (1) while SBA has been found to have improperly collected demurrage charges from CMI on regulatory grounds, the equities unequivocally favor SBA, and not CMI, as to the facts and circumstances giving rise to CMI’s demurrage obligations to carriers; (2) the Commission rejected the majority of CMI’s claims, finding only one of three entities against which CMI petitioned liable for only \$112,902.00 of the \$405,844.08 alleged in CMI’s complaint; (3) SBA’s arguments were properly motivated and certainly not frivolous – indeed they were well reasoned and in most instances accepted; (4) a fee award would not serve considerations of deterrence; (5) CMI refused SBA’s overtures to engage in a settlement dialogue on two occasions; and (6) CMI’s claimed fees for litigation activities are unreasonably high.

II. FACTUAL BACKGROUND

1) CMI’s Claims and SBA’s Efforts to Settle

CMI commenced this proceeding in May 2017 naming SBA, Radiant Customs Services, Inc. and LAS Freight System, Ltd. as respondents. Its complaint attached a spreadsheet alleging \$405,844.08 in improper demurrage charges, and asserted liability based solely on the respondents’ violations of the Shipping Act. Specifically, CMI alleged that SBA and the other respondents had operated as NVOCCs without FMC licensing, and had charged and collected demurrage charges without a published tariff providing for such charges. There was no allegation that the demurrage charges CMI paid SBA were unwarranted or undeserved. Verified Complaint, Dkt 1.

SBA demonstrated in proceedings that the demurrage charges had accrued as a result of CMI experiencing financial difficulties that prevented it from paying charges for the import of its cargo from China. Consequently, service providers refused to issue telex releases allowing the cargo's delivery to CMI. As an accommodation to CMI, SBA paid carrier demurrage charges in 2014-2015, and attended to the administration of CMI's cargo through release from the carriers and delivery to CMI. By agreement with CMI, SBA marked up the demurrage charges by approximately 20% to cover these services and in recognition of the risk SBA bore that financially struggling CMI would not repay SBA. See Brief of Respondents, Dkt 41, at 17-22 and cited testimony.

Two years later, CMI instituted proceedings without denying that the demurrage resulted from its own wrongdoing; that the charges had properly accrued under industry standards; or that SBA received payment for its administration of CMI's cargo. Rather, CMI asserted only that SBA and the other respondents had no regulatory authority to charge and collect the demurrage. Verified Complaint, Dkt 1.

At various times in January and February 2017, counsel for SBA, Steven W. Block, contacted CMI's then counsel, Jonathan Benner, with settlement offers and attempts to engage in a settlement dialogue to avoid FMC proceedings. Mr. Benner did not respond to Mr. Block's offers. After the ALJ issued his Preliminary Decision in this matter, but before exceptions were filed initiating appellate proceedings before the Commission, Mr. Block reached out to CMI's current counsel with a substantial settlement offer. Again, CMI's counsel ignored the offer, forcing continued proceedings before the Commission. Declaration of Steven W. Block.

2) ALJ and Commission Findings

Much of CMI's petition was dismissed on summary judgment. Order Granting in Part and Denying Part Motion to Dismiss, Dkt 26. The ALJ's 75-page Initial Decision made the following determinations:

- (1) SBA operated as an NVOCC on the CMI shipments.
- (2) SBA violated the Shipping Act by charging and collecting demurrage without a published tariff or service contract.
- (3) SBA violated the Shipping Act by failing to "establish, observe and enforce just and reasonable regulations and practices..."
- (4) CMI failed to establish that LAS Freight violated the Shipping Act.
- (5) "CMI developed cash flow problems related to a number of the shipments and did not pay its suppliers."
- (6) SBA "directly paid the carriers hired for the transportation of the shipments."
- (7) CMI abandoned its claims against respondent Radiant Customs Services, Inc.
- (8) SBA was ordered to pay CMI \$126,185.00 "for actual injury caused by violations of 46 U.S.C. § 41104(2)(A)."
- (9) SBA was ordered to "**CEASE AND DESIST** from operating as a non-vessel-operating common carrier without a license in violation of 46 U.S.C. § 40901(a) and operating without a published tariff in violation of 46 U.S.C. § 40501(a)(1)." Initial Decision, Dkt 70.

Significantly, the ALJ did not rule, and CMI scarcely argued, that CMI faultlessly incurred the demurrage charges. If anything, the ALJ ruled the opposite as demonstrated above. Thus, CMI does not accurately portray itself as an economic victim in this matter, having incurred demurrage charges it should not be responsible for. Put differently, had SBA been

properly licensed and operated under a published tariff, CMI would have no grounds to dispute its payment of carrier demurrage charges to SBA.

Nor did the ALJ find that SBA knowingly and intentionally violated the Shipping Act. The most compelling evidence of a Shipping Act violation was a rate sheet CMI requested, and SBA employee Bryan Tincher prepared, on a form CMI itself sent Mr. Tincher. That form was originally prepared by CMI's earlier NVOCC service provider UTi, and CMI wanted a comparison of SBA's and UTi's rates. The form contained UTi's NVOCC tariff language Mr. Tincher did not understand, and at CMI's request, he stated SBA's service rates in a separate column on the form so that CMI could compare them. This document came to light only during Mr. Tincher's deposition well into proceedings. Thus, SBA's Shipping Act violations largely resulted from its employee's innocent, if perhaps naïve, attempts to accommodate its customer, CMI, in ways CMI specifically requested for CMI's own convenience. Brief of Respondents, Dkt 41, at 14 and cited testimony.

On appeal, the Commission vacated the ALJ's cease and desist order, finding that "[g]iven the absence of any indication that SBA has continued or will continue acting as an unlicensed NVOCC without a tariff, there is no basis for ordering it to cease and desist engaging in that activity." It also reduced the ALJ's principal monetary award to \$112,902.00 based on the ALJ's inclusion of costs identified as "storage" and not demurrage in his Initial Decision. The Commission largely adopted the ALJ's analysis, again, with no finding that the equities favored CMI. Order Affirming-in-Part and Reversing-in-Part Initial Decision, Dkt 84.

3) CMI's Fee Claim is Excessive

CMI claims \$167,921.25 in costs and attorneys' fees to obtain a \$112,902.00 (plus interest) award on its original reparations claim of \$405,844.08. As demonstrated below, this is

excessive as a function of the nature of the claim and the amount ultimately awarded. Moreover, a review of invoices from CMI's counsel shows excessive billed time on the matter as follows:

1) CMI used the services of three attorneys on this matter. Entries throughout the invoicing appears for duplicative review of documents by the three of them, as well as "conferences" between them. This practice apparently derived, at least in part, from CMI's counsel using this matter as a training exercise for a law clerk who became an associate within the law firm representing CMI. See Declaration of Brendan Collins ("Collins Declaration") at para. 6. This created excessive billing for which SBA should not be responsible.

2) Generally, much of CMI's attorney fee billing is stated simply as "communications" with little or no description. Time entries are stated for as much as several hours for some of these "communications." This activity should not be SBA's responsibility, at least not without more detail.

3) CMI states that it is not seeking a fee award for its counsel's unsuccessful work against LAS Freight. *Id.* at para. 14. Yet multiple entries appear to be for work aimed at LAS Freight. See, e.g., *Id.*, Exh. A to Collins Declaration, billing logged on 4/3/2017, 4/17/2017, 10/2/2017, 10/3/2017, 3/30/2018, 4/3/2018, 2/2/2019 and others.

III. LEGAL ARGUMENT

An attorney fee award is not appropriate in this action. The Coble Act, Pub. L. No. 113-281, §402, 128 Stat. 3022 (Dec. 18, 2014), amended the Shipping Act of 1984 by removing mandatory fee awards to complainants which receive reparations. Under the current statutory scheme, the Commission enjoys discretion to award reasonable attorneys' fees to a prevailing party. 46 U.S.C. § 41305. Here, the Commission should exercise that discretion by not awarding CMI fees.

The Commission’s “primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act.” Organization and Functions; Rules of Practice and Procedure; Attorney Fees, 81 FR 10508-03 at *10515. As part of that consideration, the Commission has determined that “parties should be encouraged to litigate meritorious claims and defences.” *Id.* It has similarly warned in enforcement decisions against creating a “chilling effect” on litigants from pursuing good faith claims and defenses. *See Edaf Antillas, Inc. Complainant, v. Crowley Caribbean Logistics, LLC, et al.*, Docket No. 14-04 (FMC 2016), 2016 WL 5110081, at *13; *Baltic Auto Shipping, Inc. Complainant, v. Michael Hitrinov A/k/a Michael Khitrinov, et al.*, Docket No. 14-16 (FMC 2017), 2017 WL 4924883, at *12; *Logfret, Inc., Complainant, v. Kirsha, B.v., et al.*, Docket No. 18-10 (FMC 2020), 2020 WL 3468691, at *7.

The Commission typically considers several factors in adjudicating fee petitions: frivolousness or objective unreasonableness in the factual and in the legal components of a case (which the Commission has noted overlap significantly); motivation; and in certain circumstances, deterrence and compensation. *See Edaf*, Docket No. 14-04 (FMC 2016), 2016 WL 5110081, at *5; *Logfret*, Docket No. 18-10 (FMC 2020), 2020 WL 3468691, at *4 & at n. 6. None of those factors supports a fee award here.

1) Equities Favor SBA, and Not CMI

The factors the Commission considers in interpreting 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254 are derived directly from the Supreme Court’s decision in *Fogerty v. Fantasy, Inc.* which analyzed a similar fee-shifting provision under the Copyright Act. *See Baltic Auto Shipping, Inc.*, Docket No. 14-16 (FMC 2017), 2017 WL 4924883, at *10 (citing *Fogerty*, 510 U.S. 517, 534 n. 19 (1994)). In *Fogerty*, the Supreme Court recognized that courts must conduct

an equitable analysis when considering whether to grant attorneys' fees under a statute granting discretion to award such fees. 510 U.S. at 534.

As presented above, the equities do not support a fee award to CMI. Underlying this dispute are legitimate demurrage charges SBA incurred due to CMI's wrongful failure to pay its suppliers. Those suppliers instructed LAS Freight not to release shipments to CMI unless and until payments were made. When CMI failed to make those payments, demurrage charges accrued in accordance with industry practices and standards. SBA paid the demurrage as an accommodation to CMI, and by agreement with CMI, ultimately charged CMI a reasonable administrative markup.

2) SBA's Arguments Were Properly Motivated and Not Frivolous

The dispute was not over CMI's failure to pay its vendors or whether demurrage was appropriate, but whether SBA had regulatory authority to charge them to, and collect them from, CMI. As explained above, any violations by SBA were administrative, and were not in bad faith. Likewise, SBA's conduct in this litigation was not frivolous or by ill motivation, as is seen by the lengthy analysis the ALJ and Commission undertook of SBA's arguments, and accepting them in many instances. Accordingly, it would be inequitable to award fees to CMI. *See, e.g., Live Face on Web, LLC v. Renters Warehouse, LLC*, No. 17-CV-2127 (WMW/KMM), 2019 WL 1097493, at *4 (D. Minn. Mar. 8, 2019).

Again, CMI received an ultimate principal award of \$112,902.00 of the \$405,844.08 it alleged against one of three parties it sued. Given the Commission's lengthy consideration to SBA's arguments and reversal of portions of the ALJ's decision, SBA's arguments clearly were objectively unreasonable. In *Baltic Auto Shipping*, the Commission noted that "though in 'hindsight' Complainant's arguments may have been erroneous, they were, nevertheless, based

on several plausible interpretations of the law as cited to by the Complainant.” The same is true here. SBA’s arguments derived largely from the fact it was merely responding to CMI’s request to match or beat a competitor’s rates. Though the Commission disagreed with SBA’s arguments, its detailed consideration of them demonstrate they were plausible. Moreover, the ALJ and/or Commission agreed with SBA as to other portions of CMI’s claim that were dismissed or reversed on review. As there is no basis to find that SBA’s defenses were frivolous or objectively unreasonable, this prong does not support a finding that CMI is entitled to attorneys’ fees.

CMI’s petition does not argue that SBA had an improper motive in this action, and no evidence supports such a finding. SBA made good faith arguments and prevailed on most of the issues in CMI’s original complaint. It further prevailed on multiple exceptions submitted to the Commission. Thus, SBA clearly litigated this case with proper motives, such that this prong also does not support a finding that CMI is entitled to attorneys’ fees.

3) Considerations of Deterrence Not Served by Fee Award

A key Commission finding was that “[t]here is no evidence that SBA acted as an unlicensed NVOCC before 2014, and there is no evidence that SBA continued acting as an unlicensed NVOCC after mid-2015 when it apparently ceased handling CMI’s shipments.” On this basis, the Commission reversed the ALJ’s cease-and-desist order. CMI urges that attorneys’ fees are necessary to serve a deterrent function, but SBA engaged in no knowing and intentional wrongdoing that a fee award would deter in the future. Rather, SBA made administrative errors when responding to CMI’s request to match or beat a competitor’s prices.

The Commission typically awards fees only as a deterrent to frivolous litigation conduct by a party. *See Edaf*, Docket No. 14-04 (FMC 2016), 2016 WL 5110081, at *5 (“We believe

that deterring complainants from failing to prosecute their claims by awarding respondents attorney fees furthers the purposes of the Shipping Act.”). Such is not even alleged here.

The Commission has denied petitions for attorneys’ fees in similar instances. In both *Logfret* and *Baltic Auto Shipping*, prevailing respondents sought attorneys’ fees after successfully winning dismissal of claims. *Baltic Auto Shipping, Inc.*, Docket No. 14-16 (FMC 2017), 2017 WL 4924883, at *12; *Logfret, Inc.*, Docket No. 18-10 (FMC 2020), 2020 WL 3468691, at *7. The Commission denied fee petitions in both cases, finding that the complainants had not brought frivolous or objectively unreasonable claims; did not have improper motives in filing their claims; and were not entitled to fees for reasons of compensation or deterrence.

CMI erroneously relies on *Grunenberg-Reisner v. Overseas Moving Specialist Inc. d/b/a International Seas and Air Shipping*, Informal Docket No. 1947(I), (SCO November 3, 2017). First, the Commission did not award fees in that matter; rather, a small claims officer did under different procedural guidelines than those applicable here. Second, the small claims officer’s fee award was based not on considerations of whether respondents’ defenses were reasonable or frivolous, or on the propriety of respondents’ motives. He focused on the complainant’s recovery relative to its incurred fees. But such a calculation does not comport with the Coble Act and its amendment granting the Commission discretion in awarding fees.

4) CMI refused to engage in a settlement dialogue with SBA

Further evincing SBA’s good faith in this matter is its attempts to settle CMI’s claims with settlement offers which it expected CMI to either accept or respond to with counteroffers. CMI did neither, and in this petition, complains about SBA’s lack of interest in a formal mediation. Clearly, mediation would have been a useless waste of resources, and have resulted

only in additional attorneys' fees CMI would be seeking to collect now. If CMI would not even respond to settlement offers and engage in settlement discussions informally, there is no reason to expect it would have productively participated in mediation.

Minimal consideration should be attributed to the parties' settlement activity, as such is generally protected by FRE 408 and not the basis of a finding of the type of misconduct courts and government agencies typically redress with fee awards.

5) CMI's Claimed Fees are Unreasonably High

"The applicant for an award of attorney fees bears the burden of establishing entitlement to an award, documenting the appropriate hours, and justifying the reasonableness of the rates." *Edaf*, Docket No. 14-04 (FMC 2016), 2016 WL 5110081, at *4. Here, CMI's invoicing shows that its claimed fees are unreasonably high. Its fees exceed the damages it was awarded, and were largely expended for work on claims and positions in which CMI did not prevail.

In no sense would CMI properly recover fees for all work from its petition's inception. Courts considering fee petitions under the similar fee-shifting provisions of the Copyright Act have determined that "reasonable" attorneys' fees are calculated by comparing the prevailing party's awarded damages with the damages that party alleged, and applying the same ratio to the reasonably calculated attorneys' fees. *Am. Bd. of Internal Med. v. Von Muller*, 540 F. App'x 103, 107 (3d Cir. 2013). Courts do so "not because of some ratio that the court ought to maintain between damages and counsel fees," but because of the "the settled principle ... that counsel fees should only be awarded to the extent that the litigant was successful. The amount of damages awarded, when compared with the amount of damages requested, may be one measure of how successful the plaintiff was in his or her action, and therefore may be taken into account when awarding attorneys' fees." *Id.*

Here, CMI alleged and sought recovery of \$405,844.08. After most of its claims were dismissed or narrowed, it ultimately was awarded \$112,902.00, or 27.8% of its original demand. To the extent CMI might be deemed entitled to a fee award, it should be at most 27.8% of the requested fees that are deemed reasonable. Thus, were all of CMI's \$167,921.25 in fees deemed reasonable, then CMI's attorneys' fees award should be reduced to \$46,682.10.

IV. CONCLUSION

For the reasons presented above, CMI's fee petition should be denied in its entirety. The interests of the Shipping Act, the Commission and justice would not be served by awarding CMI fees it incurred under these circumstances. If any fee award is justified, it is significantly lower than the sum requested.

Dated this 22nd day of September, 2021.

Respectfully submitted,



Steven W. Block
LANE POWELL, PC
1420 Fifth Avenue, Suite 4200
Seattle, WA 98101
Telephone: (206) 223-7718
E-Mail: blocks@lanepowell.com

Attorney for Respondents

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

Brendan Collins
GKG Law, P.C.
The Foundry Building
1055 Thomas Jefferson Street NW
Suite 500
Washington, DC 20007
Attorneys for CMI Distribution, Inc.

- ☒ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 22nd day of September, 2021.



Alisa Flabel